COURSE

Pearson Edexcel GCSE (9-1) in Business (1BS0)

Cash and cash flow

Theme 1: Investigating small business · Topic 1.3 Putting a business idea into practice · 1.3.3 The importance of cash to a business

Revision for Theme 1: Investigating small business: each firm works it out on its own deals.

Class	Topic
Pearson Edexcel GCSE Business (1BS0)	**Cash and cash flow**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Profit on this deal**	TASK 2 **Improve cash flow**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Forecast in order**	TASK 4 **Month-end balance**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **Cash now or later**	TASK 6 **Month-end balance**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

They pay you in 30 days.

Profit on this deal?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Cars in the deal	**2 cars**
You buy them today, in total	**£28,000**
Prep and delivery, per car	**£300**
Customer pays in total	**£34,000**

METHOD

Profit = customer pays − you buy them − cars × prep per car

£34,000 − £28,000 − 2 × £300 = £5,400

Why: £5,400 profit, but £28,600 is out of your cash for 30 days.

Task 2

ROUND 1

Your bank balance is low. Customers take 60 days to pay you.

Which two would improve your cash flow?

PICK TWO

- ✔ **Ask customers to pay sooner**
- ✔ **Ask suppliers for longer to pay**
- ○ Buy more cars now to sell later
- ○ Give customers 90 days to pay
- ○ Pay suppliers early for goodwill

Why: Cash comes in sooner or goes out later; the other three take cash out sooner.

Task 3

ROUND 2

You fill in next month's cash-flow forecast.

In what order do you work it out?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Net cash flow: cash in minus cash out**
2. **Add it to the opening balance**
3. **That gives the closing balance**
4. **It becomes next month's opening balance**

Why: Net cash flow first; add the opening balance; the closing balance carries over.

Task 4

ROUND 2

A two-month deal.

Balance at the end of month 1?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Set aside for this deal	**£25,000**
Month 1: you buy the cars	**£49,500**
Month 1: customer deposit	**£11,500**
Month 2: rest of the price	**£45,500**

METHOD

Balance = set aside − you buy the cars + deposit

£25,000 − £49,500 + £11,500 = −£13,000

Why: Month 1 is short by £13,000. Month 2 brings £45,500.

Task 5

ROUND 3

Your bank balance is low. A taxi firm pays £30,000 today; a hire firm pays £31,000 in 90 days.

Which deal should you take, and why?

PICK A OR B AND GIVE A REASON

- ○ The hire firm: £31,000 in 90 days
- ✔ **The taxi firm: £30,000 today**

Why: With cash short, money today matters more than £1,000 more in 90 days.

Task 6

ROUND 3

They pay half in month 2.

Balance at the end of month 2? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Set aside for this deal	**£15,000**
Month 1: you buy the cars	**£42,000**
Running costs, each month	**£400**
Customer's price	**£53,000**

METHOD

Balance = set aside − you buy the cars − 2 × running costs + half the price

£15,000 − £42,000 − 2 × £400 + £26,500 = −£1,300

Why: Month 2 is still short: the other half comes in month 3.

Final questions

6	150	12
questions for each pupil	Level 2 Business questions	of them on cash and cash flow

The game draws 6 questions on this topic.

1 A dealership starts a week with £15,000 cash. Cash inflows are £42,000 and cash outflows are £38,000. What is the closing cash balance?
£19,000.

2 A motor business forecasts cash inflows of £31,000 and cash outflows of £37,000 in April. What is net cash flow for April?
−£6,000.

3 A dealership opens April with £22,000 cash and forecasts net cash flow of −£6,000. What is its forecast closing balance?
£16,000.

4 A dealer records a sale on credit but will not receive cash for 30 days. Why can it be profitable yet short of cash?
Profit counts sales; cash depends on when money arrives.

5 A firm begins a week with £8,000 cash, receives £25,000 and pays £39,000. What is its closing cash balance?
−£6,000.

6 Customers pay 60 days after delivery, so a profitable fleet dealer is short of cash. Which change helps its cash flow most directly?
Agree shorter payment terms.

7 Why should the Finance lead update a cash-flow forecast when customer payment dates change?
Receipt timing changes when a surplus or shortage may occur.

Final questions

8 Why should the Finance lead not use profit alone to decide whether a bill can be paid today?

Profit does not show when cash arrives.

9 Which sign should most concern the Finance lead about short-term solvency?

It often cannot pay bills when due.

10 Profit is sales minus costs. Cash is the money in the bank now. A profitable dealer cannot pay a bill due Friday. What helps soonest?

Chase customers who owe it money.

11 Net cash flow = cash in − cash out. In: £64,000 sales, £19,000 servicing. Out: £71,000 stock, £26,000 wages. Step one: cash in = £83,000. What is net cash flow?

£14,000 negative.

12 A dealer's yearly revenue exceeds total costs, but this month it cannot pay its parts supplier on time. Which problem is this?

A cash-flow problem: money goes out before it comes in.